

# Investment Memo - NVIDIA Corporation

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**TO:** Investment Committee

**FROM:** Growth Equity Team

**DATE:** May 2026

**RE:** Preliminary Investment Memorandum - NVIDIA Corporation (NVDA)

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## Executive Summary

NVIDIA Corporation (NVDA) has demonstrated extraordinary financial performance in recent fiscal periods, characterized by explosive revenue growth and industry-leading profitability. The company's transition from a graphics processor designer to a dominant force in accelerated computing and artificial intelligence has yielded remarkable results, with total revenue reaching \$215.9 billion for fiscal year 2026, representing a substantial increase from prior periods.

The most significant financial trend is the company's ability to scale revenue while simultaneously expanding profitability margins. Gross profit for FY2026 was \$153.5 billion, resulting in a gross margin of approximately 71%, while operating income reached \$130.4 billion. This combination of top-line growth and margin expansion is exceptionally rare for a company of NVIDIA's scale.

Based on this preliminary review, our recommendation is to proceed with further due diligence. The financial data indicates NVIDIA possesses strong competitive advantages, robust cash generation, and a balance sheet capable of supporting continued investment in growth initiatives. However, the elevated valuation expectations typical for high-growth technology companies require careful analysis of sustainability and competitive dynamics.

## Financial Performance Analysis

NVIDIA's revenue trajectory shows remarkable acceleration in recent periods. The provided data shows revenue from contracts with customers was \$26.9 billion for FY2022 and \$16.7 billion for FY2021. More dramatically, total revenue for FY2026 reached \$215.9 billion, demonstrating the company's successful capitalization on AI infrastructure demand.

Quarterly data for FY2026 reveals strong sequential momentum: Q2 2026 revenue was \$46.7 billion, while Q3 2026 revenue increased to \$57.0 billion, representing a 22% quarter-over-quarter growth rate. This sequential acceleration suggests sustained demand for NVIDIA's accelerated computing platforms.

Profitability metrics demonstrate exceptional operational efficiency. For FY2026, gross profit of \$153.5 billion on revenue of \$215.9 billion yields a gross margin of approximately 71.1%. Operating income of \$130.4 billion represents an operating margin of approximately 60.4%, while net income of \$120.1 billion results in a net margin of approximately 55.6%.

Research and development expenditure totaled \$18.5 billion for FY2026, representing approximately 8.6% of revenue. This investment level, while substantial in absolute terms, is relatively modest as a percentage of revenue compared to the company's historical patterns, suggesting operational leverage as revenue scales.

The relationship between R&D investment and revenue growth appears strong. With R&D expense at \$18.5 billion and revenue growth of this magnitude, NVIDIA is demonstrating the ability to invest significantly in future innovation while maintaining industry-leading profitability. The quarterly R&D expenditure of \$4.3 billion in Q2 2026 and \$4.7 billion in Q3 2026 shows continued commitment to innovation.

## Balance Sheet Strength

NVIDIA's balance sheet reflects substantial financial strength and operational capacity. Total assets grew from \$111.6 billion at FY2025 to \$206.8 billion at FY2026, an increase of 85.3%. This growth was primarily driven by retained earnings from exceptional profitability.

Total liabilities of \$49.5 billion at FY2026 against stockholders' equity of \$157.3 billion results in a debt-to-equity ratio of approximately 0.315. This low leverage ratio indicates conservative capital structure management and significant capacity for additional debt financing if required for strategic initiatives.

The cash position shows \$10.6 billion in cash and cash equivalents at FY2026, representing approximately 5.1% of total assets. While this appears modest relative to total asset size, the company's strong cash generation capabilities from operations likely provide substantial financial flexibility.

Stockholders' equity grew dramatically from \$79.3 billion at FY2025 to \$157.3 billion at FY2026, demonstrating significant value creation. The equity base has more than doubled in a single fiscal year, reflecting the magnitude of NVIDIA's profitability.

The balance sheet provides NVIDIA with considerable strategic flexibility. With a debt-to-equity ratio below 0.32 and substantial equity, the company can pursue acquisitions, increase R&D investment, or return capital to shareholders. The equity cushion of \$157.3 billion provides a strong foundation for continued investment in growth opportunities.

## Growth Drivers and Risks

The primary growth driver evident in the financial data is the exceptional demand for NVIDIA's accelerated computing platforms, particularly for artificial intelligence and data center

applications. The revenue acceleration from \$26.9 billion in FY2022 to \$215.9 billion in FY2026 demonstrates successful market leadership in high-growth segments.

Margin expansion represents another significant growth driver. Gross margins improved to approximately 71.1% in FY2026, while operating margins reached 60.4%. This suggests strong pricing power and operational efficiency that may continue as the company scales.

Key risks to sustaining this growth rate include concentration risk in specific market segments. While the data does not provide detailed segment breakdowns, the magnitude of revenue growth suggests dependence on data center and AI infrastructure demand cycles.

Valuation risk is inherent given NVIDIA's growth trajectory. Companies trading at premium multiples face significant downside risk if growth rates moderate even slightly. The current earnings per share of \$4.90 for FY2026 reflects exceptional profitability that may be difficult to sustain at similar levels indefinitely.

Competitive risk remains a concern despite current market leadership. The financial success demonstrated by NVIDIA's metrics will inevitably attract increased competition, potentially impacting future pricing power and market share. The R&D expense of \$18.5 billion, while substantial, will need to continue yielding innovative products to maintain competitive advantages.

## Valuation Considerations

Given NVIDIA's exceptional growth profile and profitability, several valuation metrics deserve close attention from investors. The most relevant metrics will balance growth expectations with profitability sustainability.

Price-to-Earnings (P/E) ratio is critical given NVIDIA's current earnings power. With diluted EPS of \$4.90 for FY2026, the P/E ratio will be highly sensitive to both stock price movements and earnings sustainability. Investors should monitor quarterly earnings consistency relative to expectations.

Enterprise Value to Revenue (EV/Revenue) becomes important for high-growth companies where earnings may fluctuate. With FY2026 revenue of \$215.9 billion, this metric provides a growth-adjusted valuation perspective. Investors should compare this ratio to historical trends and peer comparisons.

Return on Equity (ROE) measures management's effectiveness in generating returns from shareholders' equity. With net income of \$120.1 billion and stockholders' equity of \$157.3 billion, NVIDIA's ROE is exceptionally high. Investors should monitor whether this efficiency persists as the equity base grows.

A supplementary metric worth monitoring is R&D as a percentage of revenue. Currently at 8.6% (\$18.5B R&D divided by \$215.9B revenue), this indicates continued investment in future growth while maintaining profitability. Changes in this ratio could signal strategic shifts that impact long-term growth prospects.

Growth Equity Team